

BDU 2017 Model Exam Questions and Answers

1. Which of the following is not characteristic of taxation?
 - A. Neutral obligation
 - B. Compulsory nature
 - C. **Direct benefit**
 - D. Imposed by government
2. Which of the following is an example of a temporary difference that would create a deferred tax asset?
 - A. Dividends received deduction
 - B. Fines and penalties that are not tax deductible
 - C. Life insurance proceeds received that are not taxable
 - D. **Warranty expense recognized for financial reporting purposes before it is deductible for tax purposes**
3. A financial institution that raises funds by issuing shares to the public and invests the proceeds in a diversified portfolio for a management fee is:
 - A. Banks
 - B. Finance companies
 - C. Pension Funds
 - D. **Mutual Funds**
4. A joint venture distributes dividends of \$20,000. A venture owns 30% of the joint venture. Under the equity method, what is the impact of the dividend on the venture's investment account?
 - A. Increases the investment account by \$20,000
 - B. No impact on the investment account
 - C. **Decreases the investment account by \$6,000**
 - D. Increases the investment account by \$6,000
5. The management of Amhara pipe factory desires cost information regarding its 1-inch plastic pipe brand. The 1-inch plastic pipe brand is:
 - A. Cost driver
 - B. Cost assignment
 - C. **Cost object**
 - D. Actual cost
6. Which of the following is wrong regarding the classical theory of interest rates?
 - A. Interest rate and money supply have a positive relationship
 - B. **A demand for money has risen from only business sectors**
 - C. Interest rate and demand for money have a positive relationship
 - D. Interest rates are the premium for inducing people to save
7. When analyzing receivables under IFRS 9, which of the following would MOST LIKELY generate an impairment loss?
 - A. A change in macroeconomic conditions with no impact on the debtor.
 - B. **A significant increase in credit risk since initial recognition.**
 - C. A customer delaying payment by 10 days.
 - D. A temporary cash flow shortage for the debtor.

8. A company estimates that it will incur \$5,000 in inventory losses for the current period. The Allowance account for inventory loss currently has a balance of \$2,000. How much should the company adjust the Allowance account by to reflect the estimated inventory loss for the current period?
- A. **\$3,000**
 - B. \$2,000
 - C. \$7,000
 - D. \$5,000
9. Which of the following best describes real-time processing in an Accounting Information System?
- A. Financial statements are prepared annually
 - B. Data is manually entered once a month
 - C. Transactions are batched and processed at the end of the day
 - D. **Transactions are recorded and processed immediately as they occur**
10. Changes in tax laws or tax rates:
- A. Only affect current tax expense
 - B. Have no impact on financial statements
 - C. **Require adjustment of existing deferred tax assets and liabilities**
 - D. Are only disclosed in the footnotes
11. P Co. paid 50,000 in fees to its accountants and lawyers in acquiring S Company. P will treat the 50,000 as:
- A. A prior period adjustment to retained earnings
 - B. A reduction in additional paid-in capital
 - C. **An expense for the current year**
 - D. Additional cost to investment of Slope on the consolidated balance sheet
12. Which of the following is NOT a component of the cost of capital?
- A. Cost of retained earnings
 - B. Cost of debt
 - C. Cost of preferred stock
 - D. **Cost of Accounts payable**
13. If a branch remits cash to the home office, what is the journal entry on the branch's books?
- A. **Debit: Home Office; Credit: Cash**
 - B. Debit: Cash; Credit: Home Office
 - C. Debit: Cash; Credit: Investment in Branch
 - D. Debit: Investment in Branch; Credit: Cash
14. Suppose that the equipment has a cost of \$9,000,000 and accumulated depreciation of \$1,000,000. The value in use and fair value less cost of disposal is \$7,000,000 and \$4,400,000, respectively. If the company continues to use this asset in the future, as of December 31, 2022, the equipment has a remaining useful life of 4 years. How much was the loss on impairment of equipment?
- A. \$1,600,000
 - B. **\$1,000,000**
 - C. \$2,000,000
 - D. \$3,600,000
15. What is meant by the term "True and Fair View"?
- A. All assets are equally distributed

- B. The business does not hide taxes
 - C. **The financial statements are free from material misstatement**
 - D. The company has followed all ethical codes
16. The evolution of auditing from fraud detection to assurance services is largely due to:
- a. Shift to tax-based economies
 - b. Advances in technology
 - c. Increase in audit fees
 - d. **Greater complexity in business and financial reporting**
17. If a firm's operating leverage is high, a 10% increase in sales will likely result in:
- A. A decrease in fixed costs
 - B. A decline in variable costs
 - C. **A proportionally higher increase in EBIT**
 - D. No change in net income
18. A company paid \$12,000 for a 2-year insurance policy on January 1, 2018. What is the adjusting entry on December 31, 2018?
- A. Debited prepaid insurance of \$12,000 and credited insurance expense of \$12,000
 - B. Debited insurance expense of \$12,000 and credited prepaid insurance of \$12,000
 - C. **Debited insurance expense of \$6,000 and credited prepaid insurance of \$6,000**
 - D. Debited prepaid insurance of \$6,000 and credited insurance expense of \$6,000
19. What should an auditor do if they discover fraud that materially affects the financial statements?
- A. **Report it to management and consider the effect on the audit report**
 - B. Ignore it if it benefits the client
 - C. Destroy the working papers to avoid liability
 - D. Inform shareholders directly
20. According to Modigliani and Miller Proposition I (without taxes), the value of a firm is:
- A. Minimized when equity financing is used
 - B. Dependent on dividend policy
 - C. **Unaffected by its capital structure**
 - D. Maximized when debt is 50% of capital structure
21. Which of the following accounts is not used by a merchandise company that employs a perpetual inventory system?
- A. **Purchase return and allowance**
 - B. Merchandise inventory
 - C. Sales return and allowance
 - D. Cost of goods sold
22. Company X and Company Y jointly control Company Z. Company X sells goods to Company Z at a profit. A portion of these goods remains unsold at the end of the year. How should Company X account for the unrealized profit on the unsold goods under the equity method?
- A. **Eliminate the unrealized profit to the extent of Company X's ownership percentage in Company Z**
 - B. Eliminate the unrealized profit to the extent of Company Y's ownership percentage in Company Z
 - C. Eliminate the entire unrealized profit
 - D. Recognize the full profit in the current period

23. What is the purpose of understanding the client's internal control system during planning?
- A. To provide assurance on the internal control system
 - B. To assess control risk and design audit procedures
 - C. To prepare financial statements
 - D. To determine if the client is legally compliant
24. According to the Federal Income Tax Proclamation No. 979/2016, what percentage is allowed as a deduction for computing rental income tax for taxpayers who do not maintain book accounts?
- A. 45 percent
 - B. 30 percent
 - C. 35 percent
 - D. 50 percent
25. A project with a 50,000 initial outlay generates cash inflows of 20,000/year for 4 years. If the discount rate is 10%, what is the NPV?
- A. 15,000
 - B. 20,000
 - C. 18,000
 - D. 13,397
26. Which of the following is an example of a substantive test in the acquisition and warehousing cycle?
- A. Inspection of receiving reports for completeness
 - B. Review of control procedures over access to inventory systems
 - C. Analytical review of inventory turnover ratios
 - D. Repformance of a purchase order approval process
27. What is the adjusting entry if the credit sales are \$200,000, and 3% are estimated uncollectible?
- A. Debit Allowance for Doubtful Accounts 6,000; Credit Accounts Receivable 6,000
 - B. Debit Bad Debt Expense 6,000; Credit Accounts Receivable 6,000
 - C. Debit Bad Debt Expense 6,000; Credit Allowance for Doubtful Accounts 6,000
 - D. Debit Allowance for Doubtful Accounts 6,000; Credit Bad Debt Expense 6,000
28. Which of the following distinguishes governments from nongovernmental not-for-profit organizations?
- A. The power to enact and enforce a tax levy
 - B. Absence of a defined ownership interest that can be sold, transferred, or redeemed
 - C. Resource providers do not expect benefits proportional to the resources provided
 - D. Presence of profit motive
29. Which of the following are limited life intangible assets?
- A. Goodwill
 - B. Trademark
 - C. Patent
 - D. Perpetual franchise rights
30. The activities of a municipal employees' retirement and pension system should be recorded in which fund?
- A. Special fund
 - B. General fund
 - C. Trust fund

- D. Agency fund
31. Which theory of term structure of interest rate explains that the yields on long-term bonds tend to be higher than short-term bonds?
- A. **Liquidity preference theory**
 - B. Preferred habitat theory
 - C. Liquidity premium theory
 - D. Market segmentation theory
32. Consolidated financial statements are typically prepared when one entity has a controlling financial interest in another unless:
- A. The subsidiary is a finance entity
 - B. **Control does not rest with the majority owner(s)**
 - C. The two entities are in unrelated industries, such as manufacturing and real estate
 - D. The fiscal year-ends of the two entities are more than 3 months apart
33. If a share-based payment arrangement gives either the entity or the employee a choice of settlement (either cash or shares), how should the entity account for it?
- A. **Account for it as a compound financial instrument, separating the equity and liability components**
 - B. Account for it based on whichever settlement option is most likely to be chosen
 - C. Always account for it as a cash-settled transaction
 - D. Always account for it as an equity-settled transaction
34. Bahir Dar Stadium is a City-owned stadium that collects fees in amounts sufficient to cover its expenses. Bahir Dar Stadium should be accounted for in which of the following funds?
- A. Internal service fund
 - B. Special revenue fund
 - C. **Enterprise fund**
 - D. General fund
35. Which of the following is used for computing contribution margin?
- A. **Total revenue - total variable costs**
 - B. Operating income + total variable costs
 - C. Total revenue - total fixed costs
 - D. Total revenue - total manufacturing costs
36. Which of the following best describes the purpose of audit sampling in substantive tests?
- A. To evaluate the operating effectiveness of controls
 - B. **To detect material misstatements in account balances or transactions**
 - C. To verify compliance with internal policies
 - D. To assess fraud risk factors
37. The Premium Allocation Approach (PAA) can be used for insurance contracts when:
- A. **The coverage period is less than one year**
 - B. The contracts have significant investment components
 - C. The contracts are short duration and have a variable fee
 - D. The result is not materially different from the General Measurement Model (GMM)
38. Permanent differences between taxable and accounting income:
- a. Are always immaterial
 - b. Give rise to deferred tax assets and liabilities
 - c. **Affect the effective tax rate**
 - d. Reverse in future periods

39. The flexible budget contains:
- A. Budgeted amounts for planned output
 - B. Budgeted amounts for actual output
 - C. Actual costs for planned output
 - D. Actual costs for actual output
40. Which of the following best describes Equity?
- A. The total debts owed by the business
 - B. Residual interest in assets after deducting liabilities
 - C. The revenue generated from sales
 - D. The total cash available in the business
41. Which of the following is a proprietary fund?
- A. Capital project fund
 - B. Enterprise fund
 - C. Agency fund
 - D. Trust fund
42. Which of the following statements is more representative of activity-based costing in comparison to a department costing system?
- A. The use of multiple cost-allocation bases
 - B. The use of multiple cost pools
 - C. The use of indirect-cost rates for significant resource use
 - D. The use of activities having a cause-and-effect relationship
43. Which of the following transactions would NOT decrease the balance of the "Investment in Branch" account on the home office's books?
- A. The branch sends cash to the home office
 - B. The branch purchases equipment from an outside vendor
 - C. The home office pays expenses on behalf of the branch
 - D. The branch incurs a net loss
44. Which of the following best defines "investment property" under IAS 40?
- A. Property used in the production or supply of goods
 - B. Property is held for capital appreciation or rental income
 - C. Property occupied by the entity's employees
 - D. Property under construction for future use as inventory
45. Which statement about risk and return is false?
- A. Diversification eliminates systematic risk.
 - B. Treasury bills are considered risk-free assets.
 - C. Beta measures a stock's sensitivity to market movements.
 - D. Higher risk typically demands higher expected return.
46. Company A and Company B form a joint venture, Company C. Company A contributes equipment with a fair value of \$100,000 and a carrying amount of \$70,000. Company B contributes cash of \$100,000. Under the equity method, what amount should Company A recognize as a gain on the contribution?
- A. \$0
 - B. \$35,000
 - C. \$30,000
 - D. \$15,000
47. Which one of the following is wrong about intangible assets?

- A. They are not monetary assets
 - B. They are financial instruments**
 - C. They are identifiable
 - D. They lack physical existence
48. One of the following statements is true about the financial market.
- A. All debt instruments are traded on the bond market
 - B. All debt markets are traded on the capital market
 - C. All equity instruments are traded on the capital market**
 - D. Equity instruments are traded on the money market
49. A package of two or more products or services that is sold for a single price, but whose individual components may be sold as separate items at their own stand-alone prices is?
- A. Stand-alone product
 - B. Incremental product
 - C. Bundled product**
 - D. Joint product
50. One of the following is wrong about the role of the financial system.
- A. Provides a payment mechanism for goods and services without using the barter system
 - B. Facilitate the flow of funds from saver to investor
 - C. Facilitates trade and investment by extending credit
 - D. Facilitate the flow of funds from deficit to surplus units**
51. Yared Company had the following balances in their accounts at the end of the accounting period: Work-in-Process, Br. 5,000; Finished Goods, Br 20,000; Cost of Goods Sold, Br 200,000. If their manufacturing overhead was over-allocated by Br. 8,000 and Yared company adjusts their accounts using a proration based on total ending balances, the revised ending balance for Cost of Goods Sold would be:
- A. Br. 208,000
 - B. Br. 200,000
 - C. Br. 207,120
 - D. Br. 192,880**
52. Which of the following inventory costing methods is prohibited under IFRS?
- A. Specific identification
 - B. LIFO**
 - C. Weighted average
 - D. FIFO
53. Which of the following disclosures is NOT required by IAS 41?
- A. The methods and assumptions used to determine fair value
 - B. The carrying amount of biological assets pledged as security for liabilities
 - C. A description of the biological assets
 - D. The names and addresses of the company's major customers**
54. Which fund has a limited life focus instead of budgetary period?
- A. General fund
 - B. Special revenue fund
 - C. Capital project fund**
 - D. Internal service fund
55. In testing accounts receivable, auditors often perform which substantive procedure?
- A. Observe inventory counting

- B. Recalculate depreciation
 - C. Perform a walkthrough of payroll transactions
 - D. Confirm balances directly with customers
56. How profits and losses are typically shared among partners in a partnership?
- A. Based on the initial capital contribution ratio
 - B. Equally among all partners
 - C. According to the seniority of the partners
 - D. Based on the number of employees each partner contributes
57. What is the correct adjustment when the company records a \$1,500 check payment as \$150 during bank reconciliation?
- A. Added \$1,350 to the company balance
 - B. Deducted \$1,350 from the company balance
 - C. Deducted \$1,350 from the bank balance
 - D. Added \$1,350 to the bank balance
58. Which one of the following approved the Ethiopian federal budget?
- A. The Ministry of Finance
 - B. The House of Peoples' Representative
 - C. The National Planning Commission
 - D. The Prime Minister
59. Which of the following is true about Fund?
- A. A separate fiscal and accounting entity
 - B. A separate legal entity
 - C. A separate self-balancing set of accounts for inventory purposes
 - D. None of the above
60. What distinguishes an audit from other types of assurance engagements?
- A. Only audits involve financial data
 - B. Audits are always performed by internal auditors
 - C. Only audits require professional judgment
 - D. Audits provide a high (reasonable) level of assurance
61. Yared Company had the following balances in their accounts at the end of the accounting period: Work-in-Process, Br. 5,000; Finished Goods, Br 20,000; Cost of Goods Sold, Br 200,000. If their manufacturing overhead was over-allocated by Br. 8,000 and Yared company adjusts their accounts using a proration based on total ending balances, the revised ending balance for Cost of Goods Sold would be:
- A. Br. 208,000
 - B. Br. 200,000
 - C. Br. 207,120
 - D. Br. 192,880
62. If a firm projects a 20% increase in sales and its spontaneous liabilities increase by 30,000, how much additional external financing is needed (assuming no profit retention)?
- A. 42,000
 - B. 48,000
 - C. 36,000
 - D. 30,000
63. The term "sufficient appropriate audit evidence" refers to evidence that is:
- A. Only externally generated

- B. Enough in quantity and high in quality
 - C. Used only for internal control testing
 - D. Approved by management
64. The most important service performed by financial intermediaries is:
- A. Transforming financial assets
 - B. Securities trading in the Secondary market
 - C. Securities underwriting
 - D. Brokerage service
65. What is the appropriate accounting treatment for costs incurred to maintain biological assets, such as feeding and veterinary care for livestock?
- A. Recognize them as other comprehensive income (OCI)
 - B. Capitalize them as part of the cost of the biological asset
 - C. Amortize them over the life of the biological asset
 - D. Expense them as incurred
66. ABC Industries Ltd. issues 1,000 ordinary shares, €10 par value at €12 per share. In recording the transaction, credits are made to:
- A. Share Capital-Ordinary €10,000 and Retained Earnings €2,000
 - B. Share Capital-Ordinary €10,000 and Share Premium-Ordinary €2,000
 - C. Share Capital-Ordinary €10,000 and Gain from Sale of Shares €2,000
 - D. Share Capital-Ordinary €12,000
67. A city collects property taxes for the local sanitary, park, and school districts and periodically remits collections to these units. Should this activity be accounted for in which fund?
- A. Trust fund
 - B. Agency fund
 - C. General fund
 - D. Special fund
68. Assume the budgeted selling price per unit, variable cost, fixed cost, and output were Br 25, Br 10, Br 500, and 10,000 units respectively. Whereas the actual selling price per unit, variable cost, fixed cost, and output were Br 20, Br 15, Br 4,000, and 15,000 units respectively. Flexible budget variance for operating income is:
- A. Br 74,000 Favorable
 - B. Br 25,000 Unfavorable
 - C. Br 75,000 Unfavorable
 - D. Br 149,000 Unfavorable
69. What is the primary concept behind the Time Value of Money?
- A. Money's value remains constant over time
 - B. Money has more value in the present than in the future
 - C. Money has more value in the future than in the present
 - D. All of the above
70. A company purchased a machine on September 1, 2022, for \$90,000. The machine has a 5-year useful life and a residual value of \$10,000. If the company uses a double-declining balance method, what is the depreciation expense for the year 2023?
- A. 12,000
 - B. 31,200
 - C. 17,777.78
 - D. 8,888.89

71. What is the effect of revenue earned but not yet received in cash?
- A. Decrease Liabilities and Increase Equity
 - B. Increase Assets and Increase Equity**
 - C. Decrease Assets and increase Liabilities
 - D. Increase Liabilities and increase Assets
72. The following information provided for ZM Co. Net loss during the operating period was \$132,000, accounts payable increased by \$132,000, accounts receivable increased by \$132,000. Hint: income statement prepared under accrual basis of accounting. Calculate cash of operating activity?
- A. The net cash provided by the operating activity was \$132,000
 - B. The net cash used by operating activity was \$132,000**
 - C. The net cash used by operating activity was \$125,000
 - D. The net cash provided by operating activity was \$125,000
73. Which theory suggests that dividend policy is irrelevant to firm value?
- A. Signaling theory
 - B. Bird-in-the-hand theory
 - C. Modigliani-Miller irrelevance theory**
 - D. Tax preference theory
74. For a cash-settled share-based payment, the liability is:
- A. Only recognized when the options are exercised
 - B. Amortized over the vesting period
 - C. Fixed at the grant date
 - D. Re measured at each reporting date until settlement, reflecting changes in the fair value of the shares**
75. A conservative working capital policy emphasizes:
- A. Relying heavily on short-term debt
 - B. Minimizing current assets to reduce costs
 - C. Ignoring liquidity ratios
 - D. Holding excess cash and inventory to avoid shortages**
76. In an acquisition where there is an exchange of stock (acquirer) for assets (acquiree). How does the value of the acquiree net assets change?
- A. The net assets may increase, decrease or remain the same
 - B. The net assets increase
 - C. There is no change in net assets**
 - D. The net assets decrease
77. A customer's payment is recorded but not deposited in the bank. What control weakness does this represent?
- A. Lack of segregation of duties**
 - B. Poor inventory tracking
 - C. Excessive credit approval
 - D. Failure in the shipping process
78. Under IFRS 3, a business combination is accounted for using:
- A. Pooling of interests method
 - B. Merger method
 - C. Purchase method
 - D. Acquisition method**

79. Entity A (functional currency: USD) has a subsidiary in Japan (functional currency: JPY). If the JPY depreciates against the USD, how is the translation adjustment reported?
- A. As a liability on the balance sheet
 - B. In profit or loss
 - C. Disclosed only in the notes
 - D. **As a separate component of equity**
80. Assume ZM Company began the merchandise business on June 1, with 10 units of inventory that cost a total of \$200. During the month the business purchases and sales provided as follows:
- June 8, purchase: 30 units at \$20
 - June 14, sale: 25 units
 - June 22, purchase: 20 units at \$22
 - June 27, sale: 30 units
- Under FIFO, the cost of ending inventory and cost of goods sold respectively was:
- A. **\$110 and \$1,130**
 - B. \$125 and \$1,120
 - C. \$105.72 and \$1,134.28
 - D. \$112.34 and \$1,208.66
81. When testing for impairment under IAS 36, an asset group is considered impaired if its recoverable amount is:
- A. **Less than its carrying amount**
 - B. Greater than its recoverable amount
 - C. Equal to its fair value
 - D. Not determinable
82. Which sampling method selects items based on a fixed interval from a randomly chosen starting point?
- A. Random sampling
 - B. Block sampling
 - C. Haphazard sampling
 - D. **Systematic sampling**
83. Which is a source of short-term financing for current assets?
- A. Common stock issuance
 - B. **Bank overdrafts**
 - C. Issuing bonds
 - D. Retained earnings
84. Which of the following is NOT a fundamental qualitative characteristic of financial information according to the IASB Conceptual Framework?
- A. Faithful representation
 - B. Materiality
 - C. **Timeliness**
 - D. Relevance
85. **Martha Products** sells product A at a selling price of \$40 per unit. Martha's cost per unit based on the full capacity of 500,000 units is as follows: Direct materials, \$6; Direct labor, \$3; Indirect manufacturing (60% of which is fixed), \$10. A one-time-only special order offering to buy 50,000 units was received from an overseas distributor. The only other costs that would be incurred on this order would be \$4 per unit for shipping. Martha has sufficient

existing capacity to manufacture the additional units. In negotiating a price for the special order, Martha should consider that the minimum selling price per unit should be:

- A. \$21
- B. \$23
- C. \$19
- D. \$17

86. An entity grants share options to employees with a vesting period of three years. The employees must remain employed for the entire three-year period to vest. This is an example of a:

- A. Non-vesting condition
- B. Service condition
- C. Market condition
- D. Performance condition

87. Regulation helps the investor, except?

- A. Avoid market failures due to asymmetric information
- B. Solve the moral hazard problem
- C. Limit opportunities for agents to act against the interests of their shareholders
- D. To prevent market failures due to symmetric information

88. Assume the manufacturer purchases raw materials for ETB 2,000. After processing the raw materials, the manufacturer sells the product to the wholesaler for ETB 4,000. How much is the manufacturer's VAT liability?

- a. 600
- b. 400
- c. 500
- d. 300

89. On January 1, 2012, Planet Corporation, a U.S. company, acquired 100% of Star Corporation of Bulgaria, paying an excess of 90,000 Bulgarian Lev over the book value of Star's net assets. The excess was allocated to undervalued equipment with a three-year remaining useful life. Star's functional currency is the Bulgarian Lev. Star's books are maintained in the functional currency. Exchange rates for Bulgarian Lev for 2012 are: January 1, 2012 \$0.77; Average rate \$0.75; December 31, 2012 \$0.7. What is the depreciation expense stated in U.S. dollars on the excess allocated to equipment for 2012?

- A. \$21,000
- B. \$22,500
- C. \$23,100
- D. \$30,000

90. Assume W/ro Betsolet K is an employee of a profit-oriented business earning a basic monthly salary of ETB 4,500. Additionally, she receives an allowance of ETB 1,000. She has worked a total of 12 hours of overtime, staying at the office until 10:00 pm. Note that the management of the agency typically expects an employee to work 40 hours per week, and overtime payment is compensated according to the revised labor proclamation of Ethiopia. How much are W/ro Betsolet's gross earnings and net payment, respectively?

- A. ETB 5,883.52 and ETB 4,567.32
- B. ETB 7,226.82 and ETB 4,994.32
- C. ETB 6,778.82 and ETB 4,669.32
- D. ETB 5,921.875 and ETB 4,691.41

91. Entity A acquires 80% of Entity B for 500,000. The fair value of Entity B's net assets is 600,000, and the NCI is valued at 120,000. What is the goodwill?
- A. 100,000
 - B. 180,000
 - C. 20,000
 - D. 80,000
92. A company buys land for \$600,000. It pays \$15,000 in real estate commissions, \$10,000 in legal fees, and \$25,000 to clear the land. The company also spends \$30,000 to install sidewalks and streetlights. What is the capitalized cost of the land?
- A. \$650,000
 - B. \$680,000
 - C. \$675,000
 - D. \$625,000
93. Which of the following funds is a governmental fund?
- A. Enterprise fund
 - B. Internal service fund
 - C. Debt service fund
 - D. Agency fund
94. Genetu Company expects to manufacture and sell 50,000 baskets in 2011 for Br. 5 each. There are 4,000 baskets in beginning finished goods inventory with target ending inventory of 4,000 baskets. The company keeps no work-in-process inventory. What amount of sales revenue will be reported on the 2011 budgeted income statement?
- A. Br. 246,000
 - B. Br. 254,000
 - C. Br. 250,000
 - D. Br. 258,000
95. Which of the following is the disadvantage of a corporation?
- A. Unlimited life
 - B. Double taxation
 - C. High capital
 - D. Limited liability
96. Which of the following groups is considered a primary user of a state or local government's general-purpose external financial statements?
- A. Citizens
 - B. Managers and administrators
 - C. Special interest groups
 - D. Employees
97. Company A and Company B form a joint venture, Company C. Company A contributes equipment with a fair value of \$100,000 and a carrying amount of \$70,000. Company B contributes cash of \$100,000. If Company A and Company B are equal venturers, what is the initial carrying amount of Company A's investment in Company C under the equity method?
- A. \$70,000
 - B. \$100,000
 - C. \$85,000
 - D. \$130,000
98. Which of the following ratios would BEST assess a firm's short-term liquidity risk?

- A. Return on assets
 - B. Gross profit margin
 - C. Current ratio
 - D. Debt-to-equity ratio
99. A company exchanges an old machine (carrying amount: \$50,000, fair value: \$70,000) for a new machine (fair value: \$75,000) and pays \$5,000 in cash. If the transaction has commercial substance, at what amount should the new machine be recorded?
- A. \$50,000
 - B. \$70,000
 - C. \$55,000
 - D. \$75,000
100. The primary goal of financial management is to:
- A. Minimize tax liabilities
 - B. Stabilize employment levels
 - C. Maximize shareholder wealth
 - D. Increase market share